

exchequer" for issuing licences cheap to new players. Echoes of the charges are heard on Sun TV and newspapers in Tamil Nadu, ironically owned by his "friend" and predecessor in the ministry Dayanidhi Maran. Raja's discomfiture is fuel for the Opposition, targeting DMK chief M. Karunanidhi.

The chorus of allegations would suggest that the Telecom Ministry has unveiled a major policy decision. Or has allotted new licences. Neither is true. In January 2008, the ministry had allotted fresh licences to nine of 18 applicants. These included really major Unitech, Swan Telecom, Videocon-sponsored Datacom Solutions and Essar-backed Loop Telecom. The crux of the controversy is that two of these—Unitech and Swan—have reported valuations of \$2 billion by bringing in foreign partners. UAE-based Etisalat has invested \$900 million (about Rs 4,500 crore) for a 45 per cent stake in Swan Telecom for a valuation of Rs 10,000 crore while Norway's Telnor has invested Rs 6,120 crore for a 60 per cent stake in Unitech Wireless for a valuation of Rs 10,200 crore.

“ There is nothing illegal. I am willing to face any probe. I challenge anyone, including Dayanidhi Maran, on his own channel for a debate.

A. RAJA TELECOM MINISTER

Optics suggest Swan Telecom which paid Rs 1,537 crore for 13 circles and Unitech which paid Rs 1,658 crore for 23 circles have gained without setting up a single tower for merely bagging spectrum allotment. Licence Raj experts would call this the opportunity arbitrage; politicians have dubbed it a scam. New-found allies Yechury and Jayalalithaa calculate the loss to the exchequer "due to allotment of spectrum to the two operators" at Rs 60,000 crore. Clearly, the operators have gained valuation before the first roll-out even if it were to be argued that they are not the only ones who have gained so. Yes, the promoters have not divested their shares as they are bound by a three-year lock-in but have issued fresh equity. If Unitech had, for

instance, 100 shares, it has issued 60 fresh shares to bring in Telnor while Swan has issued 45 new shares. But it cannot be denied that barring Reliance Infocomm, almost all operators have brought in some foreign partner. The Tatas, who recently got a GSM licence, also sold a 26 per cent stake in Tata Teleservices to Japanese major DoCoMo at the humongous value of \$2.7 billion taking the valuation of the company to over \$10 billion. In 2006, Airtel, Hutch and others had successfully lobbied to ramp up FDI in telecom from 49 per cent to 74 per cent and gained in investments and valuation.

The question thus is not so much the valuation game but how a national asset like spectrum is being priced and squandered. The clamour for Raja's head suggests that spectrum has been sold cheap for private profit and that there should be an auction. Indeed, the then finance secretary had in November 2007 asked the DOT to clarify why "the licence fees were stuck at Rs 1,600 crore" and "why there was no indexation". To assess the magnitude of the scam, one has to go back to where it

Battle ZONE

Charge

New licences were not auctioned and given away cheap

Response

TRAI recommendations of 2003, 2005, 2007 maintain bias for "unrestricted competition" and rule out auction for 2G

Charge

Licence fees continue to be at 2003 levels and are low

Response

TRAI in its August 2007 recommendations ruled out any change in spectrum charges

Charge

The first-come-first-serve system encourages favouritism

Response

The system has been followed since 2003, through the NDA regime and later through Dayanidhi Maran's tenure

Charge

Only new entrants have benefitted from the policy

Response

No. Existing operators too gained because additional spectrum was not auctioned

Charge

Swan Telecom and Unitech Wireless have made windfall gains by giving equity to foreign players before rolling out

Response

Policy allows 74 per cent FDI. New entrants have not sold out but issued fresh equity.